

Swati Chugh — John Hancock Accumulation IUL | \$10M Death Benefit

Premium Financed | 6% Assumed Return | Presented April 30, 2026 | Broker: Nick Burgess, The Burgess Group

1. POLICY AT A GLANCE

Carrier / Product	John Hancock Life Insurance Co. (USA) Accumulation IUL Form 26AIUL
Insured	Swati Chugh Female Age 44 California Preferred Non-Smoker Initial Status: Bronze
Death Benefit	\$10,000,000 Option 2 (increasing by cash value) Years 1–20, then Option 1 (level) from Year 21
Annual Premium	\$689,782/yr (financed by lender) — varies by year due to financing structure Total: \$6,347,244
Your out of pocket	\$0 — Premiums fully financed by third-party lender
Assumed return	6.00% (more conservative than typical — Lincoln used 7.19%) Floor: 0% Guaranteed rate: 0%
Index accounts	Base Capped 11.65% Nasdaq 14% Enhanced High Capped 12.65% (+80% multiplier) Select Capped 9.75% (+11% multiplier) Barclays Global MA (uncapped, 165% participation)
Loan payoff year	Year 21 (Age 65) — policy uses its own cash value to repay the entire financing loan
Annual distributions	\$200,000/yr starting Year 22 (Age 66) — taken as policy loans (tax-free)
Key riders	Overloan Protection Rider (prevents lapse) Healthy Engagement / Vitality PLUS (health-linked bonus credits)
Non-MEC status	Confirmed — distributions remain tax-free policy loans 7-Pay limit: \$689,782/yr

2. WHAT IT ACTUALLY COSTS (Directly from Annual Account Summary)

Policy Yr	Age	Annual Premium	Premium Load	Admin / Issue	COI (Insurance)	TOTAL Charges	Interest Credited	Policy Value
1	45	\$689,782	\$48,285	\$42,026	\$947	\$91,282	\$0	\$598,500
2	46	\$689,782	\$41,387	\$45,975	\$2,482	\$89,868	\$81,541	\$1,279,955
5	49	\$118,973	\$7,138	\$53,714	\$4,832	\$65,708	\$189,920	\$3,010,254
10	54	\$528,939	\$31,736	\$65,991	\$9,652	\$107,403	\$407,432	\$6,484,576
11	55	\$528,939	\$10,579	\$68,783	\$10,899	\$90,285	\$463,926	\$7,387,155
12	56	\$528,939	\$10,579	\$71,574	\$12,170	\$94,347	\$523,912	\$8,345,659
15	59	\$0	\$0	\$68,524	\$16,486	\$85,034	\$617,717	\$9,847,276
20	64	\$0	\$0	\$25,604	\$26,762	\$52,390	\$832,296	\$13,301,220
TOTALS	Yrs 1-20	\$6,347,244	\$345,417	\$1,034,724	\$231,480	\$1,611,621		

TOTAL charges (Yrs 1–20): \$1,611,621 = Premium load \$345,417 + Admin/Issue \$1,034,724 + COI \$231,480. For comparison: 20-yr term \$10M, female 44, preferred = \$10,000–12,000/yr (\$200–240k total). IUL costs ~6–8× more than term but includes permanent DB, 0% floor, and tax-free income for life.

3. THREE SCENARIOS — WHAT DOES THE ILLUSTRATION ACTUALLY SHOW?

Scenario	Rate	Year 20 Policy Value	After Loan Repaid Yr 21	Distributions	Death Benefit Age 70	Status
Worst Case	0% (guaranteed)	\$2,391,573	LAPSES	None	NONE	x LAPSED Yr 21
Alternate / Low	5.20%	\$11,727,228	~\$2.9M net	\$200k/yr → lapses Yr 38 (Age 82)	~\$8.8M at 80	■ Runs out Age 82

Assumed / Base	~6% (base capped)	\$13,301,220	\$4,659,450 net	\$200k/yr — never lapses	\$12,551,771	✓ Sustainable
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4. JOHN HANCOCK vs LINCOLN (\$5M) — WHAT CHANGED?

Factor	Lincoln WealthBuilder IUL (\$5M — previous)	John Hancock AIUL (\$10M — new)	Better?
Carrier	Lincoln National	John Hancock	Both strong
Death benefit	\$5,000,000	\$10,000,000	✓ JH (2×)
Assumed return	7.19% (aggressive)	~6.00% (conservative)	✓ JH (safer proj.)
Index cap (main)	13.5% (S&P; TCA)	11.65% base / 14% Nasdaq	Similar
Premium load	~\$460k/10yrs (15%)	~\$345k/12yrs (6–7%)	✓ JH (lower %)
Annual distributions	\$204,086/yr from Yr 21	\$200,000/yr from Yr 22	Similar
Loan rate (standard)	4.50%/yr fixed	3.25% yrs 1-10 / 3.00% yr 11+	✓ JH (lower)
Vitality/health bonus	None	Yes — earn credits for healthy habits	✓ JH unique
Worst case	Lapses yr 20	Lapses yr 21 (one year better)	■ Similar
Alternate (5-6%)	Not shown	Policy runs to Age 82 then lapses	■ Watch this

5. IS IT WORTH IT? — HONEST VERDICT

WHAT'S BETTER in this JH policy	WHAT TO WATCH OUT FOR
✓ Double the death benefit (\$10M vs \$5M) ✓ More conservative 6% assumed return (less likely to disappoint) ✓ Lower standard loan rate: 3.25% → 3.00% (vs 4.50% Lincoln) ✓ Lower premium load % (~6-7% vs ~15% at Lincoln) ✓ Vitality PLUS: get paid to stay healthy — unique to JH ✓ More index options including Nasdaq (14% cap)	■ At 5.2% return, policy LAPSES at Age 82 — you need ~6%+ sustained ■ Total charges \$1.6M over 20 years on a \$10M policy — significant ■ Premium structure is complex (varies years 1-12) — confirm with broker ■ Still NOT PPLI — premium loads exist (though lower than Lincoln) ■ Base Capped cap is 11.65% vs Lincoln's 13.5% — slightly lower ceiling ■ 0% guaranteed rate — if credits consistently below 5%, policy at risk

BOTTOM LINE: The John Hancock policy is a material upgrade from the Lincoln \$5M illustration — double the death benefit, lower loan rate, lower premium load %, and a more conservative assumed return that is less likely to disappoint. At 6% credited, the policy is self-sustaining for life. The key risk is if returns average 5% or below — the alternate scenario shows the policy depletes at age 82, not catastrophic but no longer a lifetime vehicle. At \$0 out of pocket, a \$10M death benefit from day one, \$200k/yr tax-free income from age 66, and \$12.5M death benefit still in place at age 70 — this is a strong structure IF the market credits an average of 6%/yr. Based on 25 years of S&P; 500 history, that is historically achievable. Ask your broker: (1) What index/allocation is assumed to get 6%? (2) Can you run a 4% stressed scenario? (3) Is this eligible for PPLI to eliminate the \$1.6M in charges?

Values sourced directly from John Hancock illustration dated April 30, 2026. Assumed return ~6% per Select Capped/Base Capped account as illustrated. Not financial, tax or legal advice. Consult your advisor before any decision.